

index is heavily weighted for home and car costs; those are minor expenses under the \$50-a-Day Rule.)

YEAR	RATE	INFLATION (food)	REAL RATE
1980	15%	8.6%	6.4%
1981	17	7.9	9.1
1982	14	4.0	10.0
1983	11	2.1	8.9
1984	13	3.9	9.1
1985	9	3.2	5.8
1986	8	3.7	4.3
1987	8*	4.0*	4.0

*estimated

Why did real rates go up after deregulation? With deregulation, rates are set by markets. The Fed can influence but not control those markets. And remember that the U.S. government has an insatiable need for money. So do merger-makers, Third World countries, and others. That demand puts constant pressure on credit markets, and real rates tend to stay high.

The table shows that real rates have fallen over the last three years. By 1987 real rates were about 4 percent, lower than at any time in recent history. Our experience with deregulation says they'll go back up, especially if we get another bout of inflation. Real rates in highly inflationary countries, like Brazil and Argentina, jump to 30 percent or 50 percent or more as inflation increases.

HOW CD PERFORM

Our CD income should cover inflation and pay our taxes. We can spend what's left over. The following table shows what's left over with either \$400,000 or \$500,000 in net worth, assuming interest rates at 8 percent and inflation at 2.5 percent: